Week 1: Assignment 1

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1) ..... deals with externalities and market failure, whereas, ... deals with interaction among ecosystem, economy and social systems. 1 point

- Environmental economics, Ecological economics
- Environmental economics, Natural resource economics
- Ecological economics, Energy economics
- Energy economics, Natural resource economics

Yes, The answer is correct
Score : 1

Accepted Answer

Environmental economics, Ecological economics

2) Sustainable Development Goals (SDGs) were adopted by all members of the United Nations in ..... 1 point

- 2016
- 2015
- 2012
- 2010

Yes, The answer is correct
Score : 1

Accepted Answer

2015

3) ..... is referred to the amount that a consumer would pay for a hypothetical good, service or change in some state of environment. 1 point

- Marginal benefit
- Marginal cost
- Marginal Value
- Willingness to pay

Yes, The answer is correct
Score : 1

Accepted Answer

Willingness to pay

4) In case of negative externality, which of the following equation is valid? 1 point

- Private benefit < Private cost
- Private cost > Social cost
- Private cost < Social cost
- Private benefit = Private cost

No, The answer is incorrect
Score : 0

Accepted Answer

Private cost <
Social cost

5) Environmental economics considers economy as the subset of natural environment and ecological economics considers nature as subset of economic system. Is the given statement true or false? 1 point

- True
- False

Yes, The answer is correct
Score : 1

Accepted Answer

False

6) Common pool resources are characterized as: 1 point

- Finite in supply but non-rival in nature
- The user rights are shared among the community members
- Due to large size or open access, they are costly and difficult to regulate
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer

All of the above

7) "Pareto Optimality refers to the state at which it is impossible to make an individual better off without making someone worse off." Is the given statement correct? 1 point

- Yes
- No

Yes, The answer is correct
Score : 1

Accepted Answer

Yes

8) Which of the following concept can be employed as an alternative to the real cost of a commodity? 1 point

- Opportunity cost
- Marginal cost
- WTP
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer

Opportunity cost

9) Common pool resources are the.... 1 point

- Public goods managed sustainably through municipality arrangements
- Common goods managed sustainably through some social/institutional arrangements
- Public goods which are commonly distributed in the society
- Both a and c

Yes, The answer is correct
Score : 1

Accepted Answer

Common goods managed sustainably through some social/institutional arrangements

10)Identify the incorrect match
I. Public goods – non-rival and non-excludable
II. Private goods – rival and excludable
III. Common property resources – non-excludable within the community and non-rival
IV. Club goods – non-rival and excludable 1 point

- I and II
- II and V
- III only
- III and V only

No, The answer is incorrect
Score : 0

Accepted Answer

III only

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Week 2: Assignment 2

1) The tragedy of commons is given by Garett Hardin in 1 point

- 1986
- 1968
- 1969
- 1958

Yes, The answer is correct
Score : 1

Accepted Answer
1968

2) Market failure is the result of 1 point

I. Externalities
II. Lack of properly defined property rights
III. Features of public goods
IV. Unaffordable prices of the goods
V. Too much competition in the market

- I and II
- I, II, and III
- I, IV, and V
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
I, II, and III

3) The statement, "Population problems has no technical solution", is given by 1 point

- Elinor Ostrom
- Garret Hardin
- Robert Malthus
- Adam Smith
- b and c

Yes, The answer is correct
Score : 1

Accepted Answer
Garret Hardin

4) The tragedy of commons persists as long as 1 point

- The costs and benefits of adding one more animal are shared equally by all the herdsmen.
- The costs of adding one more animal fall on that particular herdsman who adds one more animal in his herd, while the benefits accrue to all the herdsmen in the community.
- The costs of adding one more animal are distributed among all, while the benefits accrue to the individual herdsman who adds one more animal in his herd.
- The costs of adding one more animal are more than its benefit to a single herdsman.

No, The answer is incorrect
Score : 0

Accepted Answer
The costs of adding one more animal are distributed among all, while the benefits accrue to the individual herdsman who adds one more animal in his herd.

5) The tragedy of commons can be averted through 1 point

I. Well-defined property rights
II. Freedom in commons
III. Mutual coercion
IV. Taxing devices
V. Conscience

- II only
- I, II, and III
- I, II, and IV
- I, III, and IV
- II and V

Yes, The answer is correct
Score : 1

Accepted Answer
I, III, and IV

6) The book, "The Logic of Collective Action", is written by _____ in _____ 1 point

- Mancur Olson; 1964
- Elinor Ostrom; 1966
- Mancur Olson; 1965
- Elinor Ostrom; 1965

Yes, The answer is correct
Score : 1

Accepted Answer
Mancur Olson
1965

7) Which among the following statement is true for the Theory of Collective Actions? 1 point

- Individual members will not disregard their personal gains unless there is coercion to force them to achieve the group or common objective.
- Individual members will not disregard their personal gains unless there is a separate incentive, other than the achievement of the group objective.
- Individual members will not disregard their personal gains unless the group size is too much large.
- All of the above
- Only a and b

Yes, The answer is correct
Score : 1

Accepted Answer
Only a and b

8) The following table represents the standard application of the prisoner's dilemma to the collection action problem. In the table, row entries represent the individual's payoffs and column entries represent the per capita collective payoffs and the collective is defined as the group less the individual. Now from the table identify the payoff from a dominant strategy. 1 point

Individual and Collective Payoffs		
Individual's Payoff	Collective Payoffs (Per	
	Pay	Not Pay
Pay	1,1	-0.8, 0.2
Not Pay	1.8,0.8	0,0

- 0,0
- 1,1
- 1.8,0.8
- -0.8,0.2

No, The answer is incorrect
Score : 0

Accepted Answer
0,0

9) What is true for the dominant strategy? 1 point

- Dominant strategy's payoff is the equilibrium in the game theory.
- The equilibrium achieved through the dominant strategy may or may not be consistent with the Pareto Optimality.
- Dominant strategy results in the highest payoffs to individuals and the group.
- Both a and b

No, The answer is incorrect
Score : 0

Accepted Answer
Both a and b

10)Elinor Ostrom states that collective action problems in the case of common pool resources can be solved through 1 point

- Institutional arrangement for governing the common pool resources.
- External control over locally-owned common pool resources.
- Bringing the common pool resources under the control of the central government.
- Giving the governing rights to those individuals who are far from the common pool resources.

Yes, The answer is correct
Score : 1

Accepted Answer
Institutional arrangement for governing the common pool resources.

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Week 3: Assignment 3

1) Non-use value of ecosystem services comprises: 1 point

- Option Value
- Bequest value
- Existence value
- (•) All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

2) Mediation of flows and maintenance of physical and biological conditions are ..... ecosystem services. 1 point

- Provisioning
- Cultural
- (•) Regulatory
- Supporting

Yes, The answer is correct
Score : 1

Accepted Answer
Regulatory

3) Which of the following measures is/are valid for sustaining ecosystem services. 1 point

- Internalising the externalities
- Community participation
- Tradable pollution permits
- (•) All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

4) Willingness to Pay (WTP) refers to the maximum amount a consumer is willing to contribute for a product or service. Is the given statement true or false? 1 point

- (•) True
- False

Yes, The answer is correct
Score : 1

Accepted Answer
True

5) The governance model of common pool resources must have _____ and _____. 1 point

- (•) Well-defined boundaries of rights; conflict resolution mechanism
- Well-defined boundaries of rights; the multi-crop pattern
- The multi-crop system; conflict resolution mechanism
- Multi-crop pattern; proper irrigation facility

Yes, The answer is correct
Score : 1

Accepted Answer
Well-defined boundaries of rights
conflict resolution mechanism

6) According to Elinor Ostrom, what is NOT TRUE for a successful common pool resource management? 1 point

- There should be collective-choice arrangements to incorporate the needs of affected individuals
- There should be the provision of graduate sanctions for the violation of operational rules and institutional arrangements.
- (•) External government authorities have all the rights to challenge the locally-designed institutions for governing the common pool resources (CPR).
- There should be availability of monitors to actively audit the CPR conditions and appropriator behavior.

Yes, The answer is correct
Score : 1

Accepted Answer
External government authorities have all the rights to challenge the locally-designed institutions for governing the common pool resources (CPR).

7) Elinor Ostrom's theory of governing the commons is valid for the 1 point

- Large-scale and nationally governed commons
- (•) Small-scale and locally governed commons, such as village forests
- Partnerships arrangements, allowing the external interference
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Small-scale and locally governed commons, such as village forests

8) The concept of Ecological Footprint was developed by _____and_____ in _____. 1 point

- Global footprint Network; William Rees; 1990
- (•) William Rees; Mathis Wackernagel; 1990
- William Rees; Mathis Wackernagel; 1996
- Global footprint Network; William Rees; 1996

No, The answer is incorrect
Score : 0

Accepted Answer
William Rees
Mathis Wackernagel
1996

9) Forest land footprint measures 1 point

- The annual harvest of, for example, timber and fuel wood from forests
- Areas of forest land covered by the human infrastructure
- Grazing land including cultivated pastures, wild grassland, and prairies
- (•) All of the above

No, The answer is incorrect
Score : 0

Accepted Answer
The annual harvest of, for example, timber and fuel wood from forests

10) The Global Footprint Network was established in _____. 1 point

- 1996
- 1987
- 1992
- (•) 2003

Yes, The answer is correct
Score : 1

Accepted Answer
2003

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Week 4: Assignment 4

1) What explains environment poverty nexus? 1 point

A. Poor people are more prone to environmental fatalities.
B. Poverty is one of the causes of environmental degradation.
C. Poor people contribute better in environment protection.
D. Environment provides livelihood to the poor.

- A,B,D
- A,B
- A,B,C
- B, C

Yes, The answer is correct
Score : 1

Accepted Answer
A,B,D

2) 'As the economy becomes wealthier, the extent to which environment protection becomes more or less important depends on the income elasticity of demand for environment quality'. Is this statement True or False? 1 point

- True
- False

Yes, The answer is correct
Score : 1

Accepted Answer
True

3) Degradation of natural resources impacts which of the following dimensions of poverty? 1 point

- Opportunity
- Capability
- Security
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

4) "People in poverty are forced to deplete resources to survive, and this degradation of environment further impoverishes people." The given statement explains which of the following hypothesis? 1 point

- Beckerman hypothesis
- Downward spiral hypothesis
- Porter hypothesis
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Downward spiral hypothesis

5) Time horizon dimension of poverty and environment nexus states that with increase in the income of the poor, there can/will be ..... on the natural resources. 1 point

- Negative impact
- Positive impact
- Both negative and positive impact
- No impact

Yes, The answer is correct
Score : 1

Accepted Answer
Both negative and positive impact

6) The sink function of the environment is defined as ..... 1 point

- Biological, chemical and physical system that enables human life to exist
- Capacity to absorb the un-wanted by-products from production and consumption
- Capacity to provide essential goods for human survival
- Providing aesthetic services

Yes, The answer is correct
Score : 1

Accepted Answer
Capacity to absorb the un-wanted by-products from production and consumption

7) The Kuznets curve hypothesizes .....relationship between economic growth and environmental degradation. 1 point

- U shaped
- Inverted U shaped
- Positive
- Negative

Yes, The answer is correct
Score : 1

Accepted Answer
Inverted U shaped

8) In case of developed economies, the quality of environment improves despite high level of production and consumption because of which of the following factor/s? 1 point

A. Scale effect
B. Technology effect
C. Composition effect
D. Income effect

- A, B
- A only
- B, C
- A, D

Yes, The answer is correct
Score : 1

Accepted Answer
B, C

9) Which hypothesis asserts that environmental regulations promote innovations that in turn leads to private benefits to firms? 1 point

- Porter hypothesis
- Pollution haven hypothesis
- Downward spiral hypothesis
- Beckerman hypothesis

Yes, The answer is correct
Score : 1

Accepted Answer
Porter hypothesis

10)Which of the following dimensions explain downward sloping phase of Environmental Kuznets curve? 1 point

A. Role of judiciary
B. Technology upgradation
C. Increased share of GDP on environment protection
D. High income elasticity of environment goods

- A, B
- A, B, C
- A, B, D
- A, B, C, D

Yes, The answer is correct
Score : 1

Accepted Answer
A, B, C, D

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Week 5: Assignment 5

1) According to Herman Daly, Sustainability means — 1 point

- The rate of utilization of renewable resources shall not be more than the rate of regeneration.
- The emission of pollution and discharge of waste shall not be more than the recycling capacity of nature.
- The rate of utilization of non-renewable resources shall not be more than the rate of development of their substitutes.
- Both a and c
- ◉ All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

2) Earth Summit was held in the year———— — 1 point

- 1972
- 1987
- ◉ 1992
- 1996

Yes, The answer is correct
Score : 1

Accepted Answer
1992

3) Identify the incorrect match. — 0 points

- Weak sustainability – Substitutability of natural capital with man-made capital
- Strong sustainability – Complementarity between natural capital and man-made capital
- Strong sustainability – Neoclassical economists, Robert Solow and John Hartwick
- ◉ Weak sustainability – Natural capital cannot be substituted by the man-made capital

Yes, The answer is correct
Score : 0

Accepted Answer
Weak sustainability –
Natural capital cannot be substituted by the man-made capital

4) What are the different criteria for environmental sustainability, given by OECDT
I. Regeneration
II. Substitutability
III. Comprehensibility
IV. Transferability of rights
V. Avoid irreversibility — 1 point

- I and II
- II, III, and IV
- ◉ I, II, and V
- II, II, and V

Yes, The answer is correct
Score : 1

Accepted Answer
(II, and V

5) The first pilot Environmental Performance Index (EPI) was published in — 1 point

- 1992
- 1996
- ◉ 2002
- 2006

Yes, The answer is correct
Score : 1

Accepted Answer
2002

6) The Environmental Performance Index published in 2018 gives — 1 point

- 40% weights to ecosystem vitality and 60% to environmental health
- ◉ 60% weights to ecosystem vitality and 40% to environmental health
- 50% weights to ecosystem vitality and 50% to environmental health
- 90% weights to ecosystem vitality and 10% to environmental health

Yes, The answer is correct
Score : 1

Accepted Answer
60% weights to ecosystem vitality and 40% to environmental health

7) Which among the following is NOT the indicator variable for measuring Climate Change? — 1 point

- ◉ Waste disposal at landfills
- CO2 per capita
- CO2 per capita GDP
- Both b and c

Yes, The answer is correct
Score : 1

Accepted Answer
Waste disposal at landfills

8) Willingness to Pay refers the — 1 point

- Amount of money an individual is willing to pay for foregoing the environmental benefits
- Amount of money an individual is willing to pay for tolerating the environmental cost
- Amount of money an individual is willing to pay for maintaining high standard of living
- ◉ Amount of money an individual is willing to pay for the improvement in the environment or avoiding a loss

Yes, The answer is correct
Score : 1

Accepted Answer
Amount of money an individual is willing to pay for the improvement in the environment or avoiding a loss

9) What are the different non-use values of ecosystem services? — 1 point

- Option value; bequest value; natural resource extraction
- ◉ Existence value; bequest value; Intrinsic value
- Option value; bequest value; the value of climate regulation services
- Existence value; intrinsic value; the value of raw materials from nature

Yes, The answer is correct
Score : 1

Accepted Answer
Existence value
bequest value
intrinsic value

10)The carbon storage ability of forest ecosystems is an example of — 1 point

- Direct use value
- ◉ Indirect use value
- Option value
- Bequest value
- Non-use value

Yes, The answer is correct
Score : 1

Accepted Answer
Indirect use value

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Week 6: Assignment 6

1) The major difference in an environment good and ordinary good is ..... 1 point

- Environment good cannot be measured
- Lack of market for environment good
- Environment good are not directly consumed
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Lack of market for environment good

2) Which of the following method/s are revealed preference approach for measuring demand of environmental goods? 1 point

- Hedonics approach
- Household production approach
- Both a & b
- Contingent valuation approach

Yes, The answer is correct
Score : 1

Accepted Answer
Both a &
b

3) The demand curve that traces out quantity demanded as a function of price, keeping utility constant, is called ordinary demand function, Is the given statement true or false? 1 point

- True
- False

Yes, The answer is correct
Score : 1

Accepted Answer
False

4) Which of the following statement correctly define equivalent surplus in case of environment good? 1 point

- The amount of money that would move the individual to the new level of utility without the change in quantity of good consumed.
- The amount of money that would keep the individual at the original level of utility with the change in quantity of good consumed.
- The change in income that would have the same effect as the quantity change, without the quantity change actually occurring.
- Both a & c

No, The answer is incorrect
Score : 0

Accepted Answer
Both a &
c

5) Which of the following statements is/are NOT correct in case of contingent valuation method? 1 point

- It is a stated preference approach for assessing the value of an environment good
- It is based on a hypothetical or real market scenario
- The value of environment good is inferred through the choices made in some market
- It is based on surveys

Yes, The answer is correct
Score : 1

Accepted Answer
The value of environment good is inferred through the choices made in some market

6) In compensating variation, the consumer is compensated for change in the price of commodity in order to stay at the initial utility level. Is this statement correct? 1 point

- True
- False

Yes, The answer is correct
Score : 1

Accepted Answer
True

7) The revealed preference approach of environmental valuation relies on the 1 point

- Hypothetical market
- Surrogate market
- Constructed market
- Conventional market

Yes, The answer is correct
Score : 1

Accepted Answer
Surrogate market

8) Choose the INCORRECT statement about the revealed preference approach of environmental valuation. 1 point

- The revealed preference approach is based on the actual consumer behavior in the market
- The revealed preference approach can measure the non-use value of environmental goods
- The revealed preference approach estimates the value of a non-market environmental attribute through market goods
- The hedonic price model is also based on revealed preference approach

Yes, The answer is correct
Score : 1

Accepted Answer
The revealed preference approach can measure the non-use value of environmental goods

9) The hedonic price method uncovers the 1 point

- Explicit price of environmental attributes
- Implicit prices of environmental attributes
- Explicit price of a risk factor in case of labor market
- Both a and b can be true

Yes, The answer is correct
Score : 1

Accepted Answer
Implicit prices of environmental attributes

10)The hedonic price method identifies the 1 point

- The properties' price differentials due to the difference in their property attributes
- The properties' price differentials due to the difference in their neighboring conditions
- The properties' price differentials due to the difference in their environmental attributes
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

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Week 7: Assignment 7

1) Defensive expenditure is 1 point

I. The expenditure to reduce exposure to the pollution
II. The government expenditure on the national defence
III. The expenditure on mitigating the adverse effects of pollution

- II only
- I and II
- II and III
- ◉ I and III

Yes, The answer is correct
Score : 1

Accepted Answer
I and III

2) An individual will continue to incur defensive expenditure 1 point

- As long as the value of the damage avoided is equal to the cost of the defensive action.
- ◉ As long as the value of the damage avoided is greater than the cost of the defensive action.
- As long as the value of the damage avoided is less than the cost of the defensive action.
- Both a and b can be true

Yes, The answer is correct
Score : 1

Accepted Answer
As long as the value of the damage avoided is greater than the cost of the defensive action.

3) In the presence of defensive expenditure, the utility function of a household is equal to the consumption expenditure, leisure, and sick time. Where sick time involves, 1 point

- Exposure to pollution
- Mitigating activity
- Other exogenous factors, e.g., chronic health status
- ◉ All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

4) The damage costs method belongs to the 1 point

- Stated preference method
- Discrete choice method
- ◉ Revealed preference method
- Choice experiment method

Yes, The answer is correct
Score : 1

Accepted Answer
Revealed preference method

5) Identify the INCORRECT match. 1 point

- Prevalence approach – all health-related losses over a course of a year
- Incidence approach - lifetime costs from the onset of the condition till recovery/death
- Direct costs – costs of treatment like emergency room charges, physician fees, and opportunity costs
- ◉ Indirect costs – foregone earnings due to illness

No, The answer is incorrect
Score : 0

Accepted Answer
Direct costs – costs of treatment like emergency room charges, physician fees, and opportunity costs

6) The travel costs method measures the demand for the environmental good at a particular site through, 1 point

- ◉ Frequency of visits to the destination
- Demand for green hotels at the destination
- Price of the environmentally sustainable products
- Price of the green hotels and restaurants

Yes, The answer is correct
Score : 1

Accepted Answer
Frequency of visits to the destination

7) In the travel cost method, the choke price is 1 point

- ◉ The price at which the number of trips is reduced to zero
- The price from which the number of trips starts increasing
- The price at which the number of trips is highest
- The price at which the number of trips starts decreasing

Yes, The answer is correct
Score : 1

Accepted Answer
The price at which the number of trips is reduced to zero

8) The stated preference method can only measure the use value of an environmental resource. 1 point

- True
- ◉ False

Yes, The answer is correct
Score : 1

Accepted Answer
False

9) Which among the following is not an elicitation method of the contingent valuation approach? 1 point

- Bidding game
- Payment card
- Referendum choice
- ◉ Random method

Yes, The answer is correct
Score : 1

Accepted Answer
Random method

10) The choice experiment method is based on 1 point

- ◉ A new approach to consumer theory by Lancaster
- Theory of Demand by Hicks and Allen
- Revealed preference theory by Samuelson
- Environmental Kuznets' Curve Hypothesis

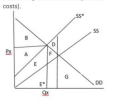
Yes, The answer is correct
Score : 1

Accepted Answer
A new approach to consumer theory by Lancaster

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Week 8: Assignment 8

1) Q1-3 are based on the following figure:
In the given figure- DD: demand curve; SS: supply curve; SS*: supply curve after internalizing the externalities (pollution costs). **1 point**



The consumer surplus after internalising the externality is:

- B
- A + B
- B + D
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer
B

2) The total cost of negative externality is identified by: **1 point**

- A + E + E*
- E + F + D
- E + F + E*
- E* + G

Yes, The answer is correct
Score : 1

Accepted Answer
E + F + D

3) The total welfare before and after adding pollution cost is marked as the following respectively: **1 point**

- A+E+F and A+B
- A+B+ E and A + B
- A+B+ E+F and A+B+ E
- A+B+ E+ F and A+B

Yes, The answer is correct
Score : 1

Accepted Answer
A+B+ E+ F and A+B

4) The stage at which a firm cannot increase the output of one commodity without reducing the output of the other is termed as Pareto optimality. Is the given statement correct? **1 point**

- True
- False

No, The answer is incorrect
Score : 0

Accepted Answer
True

5) The nature of indifference curve in case of one good and one bad is ..... **1 point**

- Upward sloping
- Downward sloping
- Inverse U-shaped
- U-shaped

No, The answer is incorrect
Score : 0

Accepted Answer
Upward sloping

6) Efficiency in production refers to ..... **1 point**

- Production on production possibility frontier
- Optimal combination of inputs to produce given level of output
- Optimal allocation of inputs such the price of output is equal to marginal cost of production
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

7) Which of the following statement/s is/are not applicable in case of production possibility frontier?
A. It is concave to the origin
B. Its slope shows increasing opportunity cost with increased output of a good
C. Its slope is called marginal rate of production
D. All points on the PPF are Pareto efficient **1 point**

- A, C
- C
- C, D
- B, C

No, The answer is incorrect
Score : 0

Accepted Answer
C

8) The negative price of a bad commodity refers to ..... **1 point**

- The high cost of production of bads
- The opportunity cost of sacrificing good commodity
- The compensation received to consume bads
- The negative externality

Yes, The answer is correct
Score : 1

Accepted Answer
The compensation received to consume bads

9) The consumer surplus in case of environmental goods and services can be very high due to free or low cost of environmental goods and services. Is the given statement correct? **1 point**

- Yes
- No

Yes, The answer is correct
Score : 1

Accepted Answer
Yes

10) Given, P= 100 -0.25 Q (Inverse Demand Function) and P = 20 + 0. 55 Q (Inverse Supply Function), what will be the producer surplus at the equilibrium point? **1 point**

- 1250
- 2750
- 3000
- 1750

Yes, The answer is correct
Score : 1

Accepted Answer
2750

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Week 9: Assignment 9

1) Which of the following is/are not the characteristic/s of public goods? **1 point**

- Non-excludability
- Non-rejectability
- Non-rivalry
- High marginal cost

Yes, The answer is correct
Score : 1

Accepted Answer
High marginal cost

2) Which of the following statement is correct if the public commodities are provided by the market without any government interventions? **1 point**

- Public goods and bads are under-provided
- Public goods are under-provided and public bads are over-provided
- Public goods are under-provided and public bads are produced at efficient point
- Public goods are over-provided and public bads are under-provided

Yes, The answer is correct
Score : 1

Accepted Answer
Public goods are under-provided and public bads are over-provided

3) Some goods can be non-rival in consumption but all goods are rival in production. Is the given statement correct? **1 point**

- Yes
- No

Yes, The answer is correct
Score : 1

Accepted Answer
Yes

4) In case of externality, the efficient allocation of resources is obtained if ..... **1 point**

- Marginal social benefit = Marginal cost
- Marginal social benefit = Marginal social cost
- Marginal private benefit = Marginal private cost
- Marginal private benefit = Marginal external cost

Yes, The answer is correct
Score : 1

Accepted Answer
Marginal social benefit = Marginal social cost

5) An externality can be termed as a public good in which of the following condition/s? **1 point**

- Externality impacts a large section of society
- Externality is non-rival and non-excludable in nature
- Externality negatively impacts production
- Both a & b

Yes, The answer is correct
Score : 1

Accepted Answer
Both a &
b

6) Internalising the externality refers to ..... **1 point**

- Regulatory practices to manage the costs or benefits of the externality in the market decision process
- Shutting/banning the pollution generating firms
- Payment of the cost of pollution to the victims by the government
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Regulatory practices to manage the costs or benefits of the externality in the market decision process

7) Which of the following is not the source of market failure? **1 point**

- Externalities
- Imperfect information
- Unavailability of goods in the market
- Existence of public goods

Yes, The answer is correct
Score : 1

Accepted Answer
Unavailability of goods in the market

8) The internalization of the negative externalities into the producer's production function would ..... **1 point**

- Increase the equilibrium output
- Reduce the equilibrium output
- Reduce the costs
- Both a and c

Yes, The answer is correct
Score : 1

Accepted Answer
Reduce the equilibrium output

9) Social cost is ..... **1 point**

- Equivalent to private costs plus pollution tax
- Equivalent to pollution tax only
- The costs incurred by the polluting firms on the social development in its neighborhood
- Equivalent to private cost minus pollution tax

Yes, The answer is correct
Score : 1

Accepted Answer
Equivalent to private costs plus pollution tax

10)According to Arthur C. Pigouvian, the imposition of a pollution tax would result in..... **1 point**

- Lower prices and lower output
- Lower price and higher output
- Higher prices and lower output
- Higher price and higher output

Yes, The answer is correct
Score : 1

Accepted Answer
Higher prices and lower output

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Week 10: Assignment 10

1) "Comprehensibility" is one of the characteristics of property rights. It means that — 1 point

- The benefits and costs should accrue to the person who has these rights.
- The property rights can be transferred to another person.
- **The property rights can be owned either privately or publicly.**
- The property rights should be secured for involuntary seizure and encroachment.

Yes, The answer is correct
Score : 1

Accepted Answer
The property rights can be owned either privately or publicly.

2) Arther C. Pigou gave the concept of pollution tax in his work _____ published in _____. — 1 point

- "Economics of Welfare"; 1960
- **"Economics of Welfare"; 1920**
- "Problem of Social Costs"; 1960
- "Problem of Social Costs"; 1920

Yes, The answer is correct
Score : 1

Accepted Answer
"Economics of Welfare"
1920

3) Ronald Coase argues that — 1 point

- The problem of externalities can be overcome by assigning property rights to polluters.
- The problem of externalities can be overcome by assigning property rights to the victim.
- **The problem of externalities can be overcome by assigning property rights either to the polluter or victim.**
- The problem of externalities can be overcome without assigning property rights

Yes, The answer is correct
Score : 1

Accepted Answer
The problem of externalities can be overcome by assigning property rights either to the polluter or victim.

4) The Coase theorem is based on the following assumptions:
I. High transaction costs
II. Costless court system for enforcing the rights
III. Consumers and producers are the price takers
IV. Imperfect competition — 1 point

- I only
- **II and III**
- II, III, and IV
- I, II, and IV

Yes, The answer is correct
Score : 1

Accepted Answer
II and III

5) Coase Theorem fails due to — 1 point

- Costless court system
- **Heavy costs involved in the negotiation between the parties**
- Perfect information
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Heavy costs involved in the negotiation between the parties

6) Which of the following is/are not the type of economic incentive for environmental regulation? — 1 point

- **Emission standards**
- Subsidies
- Marketable permits
- Pollution tax
- Refundable deposits

Yes, The answer is correct
Score : 1

Accepted Answer
Emission standards

7) The political economy model of regulations becomes ineffective because of: — 1 point

- No direct communication between the legislators and the polluters
- Time and financial constraints
- Monitoring constraints
- **All of the above**

Yes, The answer is correct
Score : 1

Accepted Answer
All of the above

8) According to public interest theory, which of the following is/are rationale of government regulation of market economy?
I. Asymmetric information
II. Externalities
III. Imperfect Competition
IV. Taxation — 1 point

- I and II
- **I, II, and III**
- III and IV
- I and IV

Yes, The answer is correct
Score : 1

Accepted Answer
I, II, and III

9) Browns interest groups indicate those entities that exclude the environment factor from their production or consumption function and greens indicate those who factor in the environmental concerns. Is the given statement correct? — 1 point

- **Yes**
- No

Yes, The answer is correct
Score : 1

Accepted Answer
Yes

10)Which theory of regulation indicates that rent seeking is the primary rationale of regulation? — 1 point

- **Political economy model of regulation**
- Interest group theory
- Public interest theory
- Externality theory

No, The answer is incorrect
Score : 0

Accepted Answer
Interest group theory

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Week 11: Assignment 11

1) The command and control approach is preferred when:
A. Marginal abatement cost of all the firms are equal.
B. Complete information about the pollution control mechanisms and costs of firms.
C. Efficient monitoring system
D. Defined property rights
E. Financial resources

1 point

- A, B
- A, B, C, E
- A, E
- A, B, C, D, E

Yes, The answer is correct
Score : 1

Accepted Answer
A, B, C, E

2) Marginal penalty cost is zero of a firm in which of the following cases?

1 point

- Emissions < set standard
- Emissions > set standard
- Emissions = set standard
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Emissions < set standard

3) Mandatory installation of a pollution control technology as a measure to manage environmental pollution is an example of command and control approach of regulation. Is the given statement correct?

1 point

- Yes
- No

Yes, The answer is correct
Score : 1

Accepted Answer
Yes

4) Which of the following is/are the disadvantage/s of Command and control approach?
A. Easy monitoring of compliance.
B. No incentive for R&D
C. High cost of information collection and possibility of getting distorted
D. Inflexible measures

1 point

- A, B
- B, C
- B, C, D
- Only B

Yes, The answer is correct
Score : 1

Accepted Answer
B, C, D

5) The technology standard does not provide any scope to the polluter to explore cheaper methods to produce same level of emission. Is the given statement correct?

1 point

- Yes
- No

Yes, The answer is correct
Score : 1

Accepted Answer
Yes

6) The upward shift in MPC (Marginal penalty curve) indicates:

1 point

- Rise in the penalty fees per unit emissions
- Decrease in monitoring activities
- Increase in the monitoring activities
- Both a & c

Yes, The answer is correct
Score : 1

Accepted Answer
Both a & c

7) The pollution costs include

1 point

- Pollution fee to the regulator plus raw material costs for production.
- Pollution abatement costs plus emission fees per unit emission.
- Pollution abatement costs plus emission fee per unit of emission plus costs of raw material.
- Pollution fee to the regulator only.

Yes, The answer is correct
Score : 1

Accepted Answer
Pollution abatement costs plus emission fees per unit emission.

8) What is marginal saving from pollution?

1 point

- The money saved from not spending on the pollution reduction
- The money saved from not spending on the factor of production
- The money spent on the installation of anti-pollution devices
- a and b

Yes, The answer is correct
Score : 1

Accepted Answer
The money saved from not spending on the pollution reduction

9) According to Arthur C. Pigou, at the optimal level of pollution,

1 point

- MD(x) + -MC(x) = -MS(x)
- MD(x) + MC(x) = -MS(x)
- -MS(x) = MC(x)
- -MS(x) = -MC(x)

Yes, The answer is correct
Score : 1

Accepted Answer
MD(x) + -MC(x) = MS(x)

10)The socially optimum level of output is achieved at the intersection between _____ and _____.

1 point

- Marginal private costs; marginal private benefits
- Marginal net private costs; marginal private benefits
- Marginal social costs; total private benefits
- Marginal social costs; marginal net private benefits

Yes, The answer is correct
Score : 1

Accepted Answer
Marginal social costs
marginal net private benefits

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1) Which among the following is NOT a form of subsidy? 1 point

- Direct cash payment for reducing the amount of pollution to a benchmark level
- Tax rebates for reducing the amount of pollution to a benchmark level
- Government investment in the firm that produces less amount of pollution
- Subsidies on inputs

Yes, The answer is correct
Score : 1

Accepted Answer
Government investment in the firm that produces less amount of pollution

2) Allocation of subsidy would 1 point

- shift the equilibrium quantities rightward
- shift the equilibrium quantities backward
- keep the equilibrium quantities unchanged
- bring the equilibrium quantities to the lowest level

Yes, The answer is correct
Score : 1

Accepted Answer
shift the equilibrium quantities rightward

3) What are the advantages of the pollution subsidy? 1 point
I. Consumers pay the socially optimum price
II. It ensures social efficiency
III. Less output is produced at the low price
IV. It can be utilized as a tax credit, which reduces the tax liability of a firm
V. More output is produced

- I, II, and III
- I, II, IV, and V
- III only
- All of the above

Yes, The answer is correct
Score : 1

Accepted Answer
I, II, IV, and V

4) The Deposit Refund System involves 1 point

- The payment made by the government to the producers for adopting environmentally sustainable technology
- The surcharge deposited by the producers in the government accounts for violating the environmental laws
- It is a surcharge amount paid to the producer for abating the pollution level to the desired level
- The surcharge on a product when purchased and rebate when returned

Yes, The answer is correct
Score : 1

Accepted Answer
The surcharge on a product when purchased and rebate when returned

5) The deposit refund system is one of the instruments under the command and control approach. 1 point

- True
- False

Yes, The answer is correct
Score : 1

Accepted Answer
False

6) The tradable permit mechanism is a 1 point

- Quota system where the total amount of emission is fixed
- Pigouvian tax system where the polluters pay for buying permits to pollute
- Market-based instrument to control pollution
- All of the above
- Only a and b

No, The answer is incorrect
Score : 0

Accepted Answer
All of the above

7) What is grandparenting? 1 point

- It refers to the free allowances for pollution based on some performance parameters
- It refers to the free allowances for pollution based on the firm's historical emission records from a specified period.
- It refers to the system where pollution permit is issued to those firm that pays for it
- It refers to the mechanism where each company has the right to pollute any amount of pollution

Yes, The answer is correct
Score : 1

Accepted Answer
It refers to the free allowances for pollution based on the firm's historical emission records from a specified period.

8) Which among the following is not the method of allocating transferable permits? 1 point

- Benchmarking
- Grand Parenting
- Deposit refund system
- None of the above

Yes, The answer is correct
Score : 1

Accepted Answer
Deposit refund system

9) If the marginal abatement cost is greater than the permit price 1 point

- a firm would not buy an additional permit
- a firm would shut down due to high abatement cost
- a firm would buy an extra permit
- a firm would sell its permit to other producers in the market

Yes, The answer is correct
Score : 1

Accepted Answer
a firm would buy an extra permit

10)Offset trading refers to 1 point

- a trading system where a new firm pays the existing firm for reducing its emission level
- a trading system where a new firm receives money from the existing firm to go out of the market
- a trading system in which the number of firms in the market remains the same to keep pollution under control
- a trading system where each firm in the market has the same level of pollution

Yes, The answer is correct
Score : 1

Accepted Answer
a trading system where a new firm pays the existing firm for reducing its emission level

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